

which gave him the confidence to quit his corporate job and take up full-time trading as a career.

I didn't know what to say at the end. Because he designed a simple system using a 'super trend' indicator which works well in a trending environment. Both Nifty and Banknifty had been trending for the past few months and hence he received decent results in his trading. Because of this limited favorable experience, he had decided to pursue full-time trading. But he didn't know what happens to his system when the market goes into a sideways trend or a narrow range period (low volatility).

If you are not aware, any trending system gives good results in a trending environment. But the same system shows pathetic results in a sideways environment or when the market is volatile.

Similarly, a mean reversion trading system (buy low and sell high) works well in a sideways trend, but it fails terribly in a trending environment.

So, a person has to experience these different phases of the market with his trading system/concept so that he will be able to differentiate when his trading system works and when it fails. In favorable market conditions, he can think of pyramiding positions, and in other cases, he should develop rules to avoid trading or taking less risk per trade.

I explained all these things to him. Besides, I stayed in touch with them and shared helpful information about intraday trading once in a while. After a few years of struggle, he developed his own day trading system, which compliments his personality, and today he is enjoying the freedom of a trader's life.

I will share the remaining part of the story (such as the reason behind my misery when I made big money and how my friend progressed towards successful trading) at the right time in subsequent chapters.

Why Is Intraday Trading Just a T-20 Cricket Game?

T-20 Cricket is a most aggressive and competitive sport. Every cricketer makes incredible preparations for each game and tries to execute it without flaws.